

Wheaton Precious Metals Corp. WPM

April 17, 2020 - 1:31am EST

by

swag95

			2020	2021
Price:	31.98	EPS	0	0
Shares Out. (in M):	448	P/E	0	0
Market Cap (in \$M):	14	P/FCF	0	0
Net Debt (in \$M):	1	EBIT	0	0
TEV (in \$M):	15	TEV/EBIT	0	0

Description

Company Overview

Wheaton Precious Metals (NYSE:WPM) is a large cap precious metals streaming company with interests in 19 operating mines and 9 development projects (See Table 1). The company is focused on pursuing precious metal opportunities that provide exposure to long-life, low-cost assets and returning capital to shareholders through its cash flow-linked dividend. To better understand how WPM operationally compares to its peers, the differences between royalties, streams, and offtakes must be made clear:

- **Royalty** – a contract that gives the owner the right to a percentage of commodity production or revenue in exchange for an upfront payment.
- **Stream** – a contract where the mining company agrees to sell the stream owner a set percentage of the metal produced. The price per ounce is either a set price determined by a significantly lower gold price or a percentage of spot prices.
- **Offtake** – a contract that behaves similarly to streaming, however the difference is that they are more associated with base metals and prices in the contract must include a variety of costs associated with making the product suitable to end users.

WPM focuses solely on the streaming business model, meaning that they make large initial investments in exchange for metal delivery at a fixed price or certain percentage of spot. Inclusive in said contracts are negotiated purchase prices, the length of the stream agreement, and the timing for capital deployment. Upon metal production, the respective metals are delivered to WPM at various locations where the company can choose to stockpile the metal in hopes of a higher spot price, or to sell the metals at spot. Streaming companies bare lower operational risk which leads them to be focused on mine production and resource-to-reserve conversion as opposed to cost metrics such as all-in sustaining cost (AISC) or total cash cost (TCC).

Table1: Select Core Assets

External Analysis

Spot gold (US\$1,689/oz) and silver (US\$15.08/oz) prices are up 34.7% and 7.9%, respectively, over the last year. Gold demand has largely been influenced by discretionary purchases in India, central bank purchasing, and demand from other investment instruments. Central Banks and ETFs have increased their physical exposure to the metal with the hopes of being able to rely on it as a store of value, but this notion has been challenged given volatility throughout March. It must be noted that gold thrives during times of macroeconomic uncertainty, not market "Armageddon", which is why demand has been pulled back as large market movements force the perceived risk of all investment classes, outside of cash, to increase. Additionally, India, one of the largest consumers of gold, has invoked a national shutdown to curb the spreading of COVID-19. Not only has this curbed demand from end-consumers, but it forced Titan Co., India's largest jeweler, to close all stores.

From the supply-side, companies are implementing independent or state-enforced measures to help curb the spread of the virus. For example, governments in Peru, Argentina, South Africa, and Canada have all ordered shutdowns to all non-essential services (which in some cases means mining). Furthermore, access to mine sites typically requires fly-in fly-out transportation for workers, so some companies such as Glencore, Vale, and Newmont have taken precautions to place these mines on care and maintenance. Conclusively, mine shutdowns will restrict the ability for companies to make headway on exploration projects on top of being unable to mine more metal to keep a level supply. Thus, the supply-demand balance in the current precious metals market seem to be robust enough to support long term gold and silver prices of \$1,400/oz and \$18.00/oz, respectively (See Graphs 1 & 2).

Current strength in precious metals prices bodes well for WPM as the company's revenue mix is 53% gold and 40% silver, the remainder made up of cobalt and palladium production. Strong precious metal prices also support the advancement of greenfield and brownfield exploration efforts where said projects or companies may seek out royalty or stream agreements to secure initial non-market funding. However, many stream agreements in WPM's portfolio are tied to the byproduct production of base metals. For example, Hudbay's Constancia produces copper, but gold and silver as a byproduct. Weak base metal prices are supported by large projects coming online, such as First Quantum's Cobra Panama mine, and diminishing global demand as a result of COVID-19. Thus, the likelihood of new base metal projects coming online may decrease. This impacts WPM directly as it lowers the likelihood of current non-producing streams from coming online (ie. Rosemont); forcing the company to seek out primary precious metal streams where development is supported by buoyant precious metal prices.

Graph 1: Gold Price Forecast

Graph 2: Silver Price Forecast

Investment Thesis

Thesis 1: Underreaction to CRA Settlement

Due to the nature and complexity of royalty and streaming companies, as well as the emergence of pure-play royalty or streaming companies in the 2000s, taxation has always been unclear. In July 2015, WPM disclosed it received a proposal from the Canadian Revenue Agency (CRA) with regards to the company's earnings in the 2005-2010 period that should have been taxed through the Canadian entity as opposed to foreign ones. The back taxes amounted to \$1Bn; dwarfing WPM's 2018 revenue of \$800M. As a result, the company's share price closed the year 41.1% lower than where it had started in 2015. Between then and when a settlement was reached in December 2017, the company traded very similarly to its peer group, however at a steep discount, which indicates that fundamentally, investors were still pricing in asset strength while being cognizant of the potential risks of back taxes. Upon a settlement being reached which was seen as a mere slap on the wrist, the company continued to trade similarly to its peers, but still remained at a discount. There was no reversion of their share price back to its original trajectory seen pre-CRA investigation as a result of the settlement, which is a strong indicator that the market is mispricing the security.

Prior to the CRA investigation, WPM had traded at a large premium of 13% and 17% to its closest peers, Franco-Nevada (FNV) and Royal Gold (RGLD), respectively. Although it is fair that the share price declined as investors feared the worst as the company could have been insolvent if forced to pay \$1Bn in back taxes, the settlement reached did not force the company to make any large one-time payment. The investigation proved to be non-fundamental to the core of the company's business operations and did not impact metal being received from mining companies. There should have been a "correctional value release" that saw value unlocked tied to no tax uncertainty and the strong asset base the company is invested in. A lack of this "correctional value release" is still observed as the company trades at a discount to FNV and a slight premium to RGLD.

To quantify the value of the unrealized "correctional value release", a regression was performed against FNV as well as the larger peer set to see where WPM would have traded if the CRA had not investigated the company (See Graph 3). As observed, there is roughly 13-25% of value still left to be unlocked as a result of the settlement. Beyond this, it would be rational to think that the value discrepancy (as reflected by P/NAV, see comparable companies analysis) should close even further as if WPM was filling taxes incorrectly, than there is a looming threat that the CRA may investigate other peers as well; something that isn't being reflected in the performance of other royalty and streaming companies.

Graph 3: WPM Share Price Regression

Thesis 2: Strong Strem Portfolio

WPM is being inherently undervalued despite the strength of its streaming business model on top of the assets it remains invested in. WPM has worked hard to diversify its portfolio from silver and focus on a more equitable metal mix with gold while also exposing itself to palladium and cobalt. Gold and silver diversification allows WPM to naturally hedge against commodity price fluctuations. Exposure to palladium and cobalt, on the other hand, allow the company to participate in the strong supply-demand fundamentals that will keep these prices strong.

Not only does WPM have a diversified portfolio of investments, but the assets the company invests in are low-cost and long-life. The company has a projected TCC of \$421 and \$430 per ounce in 2020 and 2021, respectively, while also focusing on driving gold equivalent production to a sustained 750 thousand ounces (koz) over the next five years (See Graph 4). Additionally, the company has the longest reserve life at 32 years, as compared to FNV's 20 years and RGLD's 14 years (See Table 2). Reserve life is very important and is an underlying driver of value for the business as it is indicative of robust and sustainable cash flow generating ability. Furthermore, as noticed in Table 2, this long reserve life is 60% higher than FNV's, but FNV has 2.8x more operating and 3.9x more exploration assets. Conclusively, the projects WPM has invested in are owned by companies who have conducted extensive drill testing and focused on resource-to-reserve conversion to grow the amount of ore that is proven and probable to be pulled from the ground.

This thesis point also further supports the first thesis point by showing that, fundamentally, the asset fundamentals of WPM are much stronger than FNV and RGLD. A continued focus on fundamental asset strength and the continued acquisition of Tier 1 streams should serve to support continued share price appreciation; especially given the robustness of precious metal prices.

Table 2: Reserve Life

Graph 4: Forecast Production & TCC

Thesis 3: Robust Capital Structure Management

The final thesis point explores how WPM is in the best position to inorganically grow its production in the future while still being able to maintain strong asset fundamentals and remaining healthy as a company. The company's balance sheet remains robust with ample current liquidity to pursue moderate to large stream investments, with ample room to raise capital (See Graph 5).

From a leverage standpoint, the company has a Total Debt / EBITDA of 1.20x, which although is higher than its peers at 0.86x, is still a healthy amount which the company plans to delever by 2022 and target a negative net debt position. Conclusively, with a plan to deliver using operating cash flow, which is forecasted to be ~\$700 million per year, the company should be well positioned to achieve its net debt goal. From a liquidity standpoint, the company is very strong with immediate liquidity of \$1.23 billion (\$104mm in cash and \$1.13Bn in undrawn credit). Furthermore, the company recently announced a \$300 million equity program which it may plan on acting upon opportunistically should access to further credit be unavailable. Combined with an operating cash flow projected to be ~\$700 million annually, it could be said that WPM has access to \$2.23 billion of liquidity and would use that to pursue investments in other moderate to large streams.

The foundation of this thesis is founded in a robust balance sheet, but the realization and upside of it is based on the company's pre-existing ability to manage billion-dollar investments with significant leverage. In 2015/2016, WPM participated in what was a wave of precious metal stream and royalty transactions totaling \$5.5 billion. WPM spent \$2.6 billion in that year to acquire two Vale streams and one Glencore stream. The company financed said transactions with debt and, over time, was able to organically de-lever their balance sheet while remaining cash flow positive (See Graph 6). Given their history of large investments, they have been able to truly fuel growth in a sustainable fashion and will be well positioned to take advantage of depressed base metal asset valuations and acquire streams on these large assets at a very opportunistic time.

Graph 5: Leverage & Liquidity

Graph 6: Historical Leverage

Valuation

Comparable Companies Analysis

WPM trades at a premium to its peer set across all major metrics; namely P/NAV and P/CF. However, FNV is its closest peer due to market and portfolio size as well as duration of existence. Thus, when looking at valuation multiples, it can be noticed that WPM trades at a steep discount to its closest peer despite having historically traded at a 13% premium pre-CRA investigation. It has already been established that there has been no "correctional value release" which can help partially explain the P/NAV and P/CF value discrepancies. This value discrepancy can also be explained by the one-turn

difference between WPM and FNV leverage multiples, but does not explain the full picture as WPM has stronger assets and has shown an ability to manage their balance sheet responsibly; a component of the company that does not seem to be priced into their valuation. Finally, it seems as if the longevity of reserve life and other robust fundamental components of the company's investments are being mispriced. It seems as if investors are only pricing in current cash flow generating power and not how long these companies can do it for. As well, the market is failing to fully price in assets such as Rosemont and the Salobo phase III processing facility upgrade which has restricted P/NAV multiple expansion. Conclusively, the value discrepancy observed between WPM and FNV is unjustified and the market continues to misprice WPM.

Intrinsic Valuation

Using a long term gold price of \$1,450/oz and a long term silver price of \$18.00/oz and an equally weighted P/NAV and P/2020E CF multiple, a target price of \$39.64 is arrived at implying an upside of 23.9%. Tying this back to thesis one, it can be observed that intrinsically the market is underpricing WPM intrinsically and are not giving full value to net assets. Sensitivity has been conducted to assess the change in valuation if commodity prices fluctuate as well as if certain multiples are achieved.

Risks

- **COVID-19 Impact** – The recent health pandemic has created a headwind on the demand-side, but can expect to also create some on the supply-side. Penasquito, Constanca, Yauliyacu, and Voisey's Bay were all forced to shut down as the countries that they operate in consider mining to be non-essential. If COVID-19 continues to spread in these countries, it can be expected that mines will continue to shut down, metal will cease to be delivered to WPM, and exploration will halt. Although WPM could remain solvent in such an event where all mines close, it would inhibit the company's goals of achieving 750koz of gold equivalent production and eliminating debt.
- **Regulatory Approval** – Regulatory issues pose a large threat to projects with the scale and scope of Rosemont. Hudbay has been trying to move the asset through the regulatory process for a long time and is currently at a standstill awaiting results on their appeal on an environmental ruling. However, intrinsic valuation for WPM employees a 10% instead of 5% discount rate to the asset and assumes that the mine will come online in 2023, which means that the overall impact to total NPV is minimal.
- **Commodity Price Fluctuations** – Given that WPM is largely focused on precious metal byproduct streams, the company is inherently tied to both base and precious metal price fluctuations. Should copper prices, for example, remain subdued due to a lack of global demand, then this may inhibit exploration and development projects from moving to production. Similarly, should continued market skepticism occur, investment altogether may flock from gold to cash as investors seek safer and more liquid investments. This, combined with weakening demand from India, would place tremendous downward pressure on gold prices.

I do not hold a position with the issuer such as employment, directorship, or consultancy.

I and/or others I advise do not hold a material investment in the issuer's securities.

Catalyst

Catalysts

- **Advancement of Current Pipeline** – WPM has a number of streams that are scheduled to commence production in 2021 and 2022 that will significantly impact the company's top-line. Hudbay's Rosemont asset was scheduled to commence construction in 2020, but ran into a final regulatory hurdle that the company is currently appealing that would have allowed construction to commence. Once producing, Rosemont is expected to be one of the largest copper producing mines in the world with significant gold and silver byproduct production. Voisey's Bay, Vale's cobalt mine, is expected to commence production in 2021 and will lend WPM exposure to the cobalt market where upward pressure on prices is expected due to technological advancements in transportation. Finally, Salobo is expected to commence construction of phase III of its mill expansion which will increase processing capacity 12Mt to 36Mt. This will increase affective gold output from 300koz to 330koz; significantly impacting WPM's top-line. Conclusively, regardless of opportunities that may materialize or not inorganically, WPM still has significant growth potential given its current streams.
- **Further De-leveraging of Balance Sheet** – The company forecasts that it will pay off all of its debt using operating cash flow by 2021. By doing so, the company will revert to peer average with respect to leverage and will be able to focus on its goals of opportunistic inorganic growth and returning value to its shareholders via a strong cash dividend. Upon de-leveraging, investors will begin to realize the full value of WPM's streams which will drive multiple expansion.
- **Aggressive Inorganic Growth Strategy** – The possibility of accretive acquisitions in the future will enable not only the company to increase its NAV, but will also call for multiple expansion as its portfolio becomes filled with more Tier 1 investments and is able to yield more metal production. The company has been able to generate \$2Bn in excess free cash flow as a result of experiencing an exceptional 17.5% return on its investments. The company can further convert on their investments by using their investment intuition and management experience to ensure all investments are NPV positive and have high IRRs.

Messages

Subject	The company might be on the other side of your trade (ATM equity issuance announced)
Entry	04/17/2020 09:27 AM
Member	afgtt2008
We owned WPM subsequent to the Cameco tax settlement (September 2018) but have since sold as we see much better value elsewhere in the space as the name has materially re-rated. We believe you're now being fairly compensated for the tax settlement. Whether this business should re-rate further towards FNV's valuation since there is no longer a tax overhang is debatable but I think it's unanimous that the market prefers FNV. With such a large percentage of WPM's NAV tied to Salobo (~40%) it's tough for generalists to take comfort with WPM. Moreover, when comparing the two portfolios' overall precious metal exposure (i.e. gold > silver), contract structure (i.e. royalty > stream), asset diversity, amongst many other factors, I think it's clear that FNV deserves the premium valuation to WPM. Even if you think WPM should trade in-line with FNV, what I mostly struggle with here is the absolute valuation. As of right now, using spot gold and silver and a 5% discount rate (industry convention but can be debated), I see WPM trading at 2.0x NAV! Therefore, an investment in WPM from here requires a view on gold/silver pricing and outright reserve growth. Given the entry price, you need extreme conviction which I don't think anyone can really have for this type of business. The highest multiple this business has traded at over the past 5-years is 2.1x NAV and the name has historically troughed at <1.0x NAV. I think you can find better value elsewhere in the royalty/streaming space. We're seeing Osisko at 1.0x NAV using spot. Moreover, there are miners trading below NAV. Lastly, I don't think management or the board sees a lot of value here. Just last night (after your write up) WPM announced an ATM equity program where they can issue up to US\$300mm of stock into the open market from treasury. Not a sign of value in my opinion. https://www.wheatonpm.com/news/pressreleases/News-Releases-Details/2020/Wheaton-Precious-Metals-Announces-the-Effectiveness-of-an-At-The-Market-Equity-Program/default.aspx	
Subject	Re: The company might be on the other side of your trade (ATM equity issuance announced)
Entry	04/17/2020 12:11 PM
Member	sancho
I agree with afgtt on reasons for FNV halo. In addition, FNV has been very savvy in getting into deals where the resource upside over time was much bigger than originally thought. I will admit their ventures into oil&gas dont look great now. How does WPM's track record look in terms of resource upside vs initial terms?	
Subject	Re: The company might be on the other side of your trade (ATM equity issuance announced)
Entry	04/17/2020 01:24 PM
Member	AdmiralJames609
The business model relies upon issuing stock to fund acquisitions (even if bridged by a revolver). The higher your stock price, the more accretive the deals can be. I think the silver market is less efficient (far less liquid) than gold, but the industrial applications make it more economically cyclical. I personally like the silver weighting of WPMs portfolio and see physical market prices that are even more detached from paper markets than gold.	
Subject	Link to Exhibits
Entry	04/17/2020 02:19 PM
Member	swag95
Hi Everyone, I appologize, but the exhibits did not get shared throuhgout the report upon file conversion. Please visit this link for all exhibits references throughout the report: https://ibb.co/album/mqwnmF Thanks.	
Subject	Re: The company might be on the other side of your trade (ATM equity issuance announced)
Entry	04/17/2020 02:35 PM
Member	swag95

Hi afigtt2008,

Thanks for your comments. I have made a new message that links to respective exhibits which may be particularly helpful to visualize what I reference as the lack of a "correctional value release" post-settlement. I do believe that the market hasn't warranted appropriate value for WPM's assets post-settlement despite the company still trading at ~2.05x NAV. I agree that prior to the settlement, WPM traded at a premium to its peers but only at ~2.1x NAV. However, since 2015, new assets have come online for both FNV and WPM that have allowed for tangible portfolio diversification being realized. As a result, FNV trades at ~2.8x NAV (which is very high despite having exposure to energy as well), whereas WPM still trades at a large discount (See Comparables Exhibit).

I think that WPM will continue to be re-rated upwards to around 2.3x (which is where street average rates them), and this multiple expansion will occur upon further balance sheet de-levering. Currently, the company is one full turn more leverage than FNV; FNV's low leverage potentially contributing to a near 3.0x NAV valuation. However, WPM has shown their ability to generate strong cash flow and ample ability to pay down debt in the near term. As a result, I see an upward re-rating for the company.

I like Osisko as well as they still trade at a discount to NAV. I also find that they have a Canadian-favoured asset portfolio. However, I think that their acquisition of Barkerville in September 2019 may prohibit the company to see meaningful multiple expansion. As is industry knowledge, royalty and streaming companies command higher multiples due to their lack of operational exposure. Osisko is now turning back to their roots of operating exposure so, on top of high leverage, their lower multiple may be justified.

Subject	Re: Re: The company might be on the other side of your trade (ATM equity issuance announced)
Entry	04/17/2020 02:45 PM
Member	swag95

Hi Sancho,

Thanks for the comments and question. I have attached a link to the exhibits that may aid in answering this question, but WPM has realized tremendous returns on stream investments. The company has generated \$2 billion in surplus CFO and has seen current returns of 17.5% on streams. Additionally, I see their resource upside as being higher than FNV. Although WPM doesn't invest in hundreds of streams or royalties, the streams that they do acquire are for significantly large assets. Regardless of portfolio size, WPM has a longer reserve length than FNV despite having under half of the operating assets. The target price I used was an equally weighted NAV and 2020E CF multiple so even if you think that 2.0x-2.1x is a fair NAV multiple, I believe that the companies longevity in reserves commands a premium cash flow multiple that I don't see to be reflected.

Subject	Re: Re: The company might be on the other side of your trade (ATM equity issuance announced)
Entry	04/17/2020 02:50 PM
Member	swag95

Hi AdmiralJames609,

I am with you on the ATM stock issuances. Particularly at a point in time when markets have been very volatile and WPM's share price has rebounded strongly, I see that the company is making a strong decision by raising capital currently when the stock is trading strongly.

From a commodity mix standpoint, I do agree that having balance in silver and gold is important. In the link I have shared that has exhibits attached, I have calculated what consensus forward looking prices are. Although only significant merit can be placed on them, consensus is that gold should sit comfortably around \$1,400/oz and Silver around \$19/oz. There could be significant opportunity for inorganic growth should the company seek to reweight its portfolio, and I see that the company could be poised for deploy capital in the near future given the favorable precious metal price environment.

Subject	Re: Re: Re: The company might be on the other side of your trade (ATM equity issuance announced)
Entry	04/17/2020 03:48 PM
Member	afggt2008

I understand the value creation that can arise from using a highly valued stock to buy something but you need to believe that the acquirer's stock will remain highly valued. Given that WPM has traded in a range of 0.9x - 2.1x NAV over the past 5-years and the fact that you're paying >2.0x today, I don't think this is very interesting.

But for argument sake, lets put some numbers to this value creation. They are issuing US\$300mm of stock at 2.0x NAV. Let's say they buy some streams/royalties at 1.0x NAV. Great, they've created US\$300mm of value. Market cap is \$15bn. So they've moved the share price 2%. Now if you could lay out a scenario where they can issue a significant amount of stock at 2.0x NAV and buy something at 1.0x NAV, then maybe you could paint a picture of value. For example, keeping with issuing stock at 2.0x NAV and buying something at 1.0x NAV, WPM would need to issue \$1.5bn in stock to create 10% value (\$15bn market cap * 1.0x value creation on \$1.5bn raise). Is underwriting this hypothetical raise, hypothetical deal, terminal multiple, long-term commodity price, etc. worth the risk? I don't think so but I guess that's what makes a market!

Triple Flag (Elliott backed) tried to come to the market in December 2019 with a deal in 1.5x NAV area. Smart money (Elliott) were sellers there. Institutions (also smart money) couldn't get there so presumably the market thought these streams were worth less than 1.5x NAV. Again, this was December (four months ago). All asset prices have gotten significantly more attractive since then (i.e. lower). Meanwhile, WPM's multiple has expanded from 1.7x to 2.0x over this time period (i.e. more expensive) on a higher commodity price. Usually, the opposite happens, names derate as the commodity price increases. <https://www.newswire.ca/news-releases/triple-flag-precious-metals-corp-withdraws-ipo-due-to-market-conditions-803634991.html>

Subject	Questions on Business Model and Sector Valuation
Entry	04/17/2020 04:40 PM
Member	Light62

I've always been perplexed by this space. Would appreciate any thoughts people have:

1. Is this just MLP's all over again?
2. Why don't people abuse the arb more often? Why couldn't Elliott get the deal done at 1.5x if that's a discount to the peer group?
3. Is there real institutional value here that could support >1x NAV? My understanding was this was a largely cost of capital business other than maybe having unique geological insights these deals are pretty competitive and transparent on their terms right?
4. If I'm buying a stream of gold/silver at >1x NAV why wouldn't I rather buy a miner at <1x NAV (plenty of smaller guys seem to be at <.5x) especially as they should have more leverage to the higher metals price that would justify owning the royalty co. Is it really just their ability to monetize their expensive stock?
5. If so, what's the risk that the stock just stops trading at a premium (one bad deal or a failure to execute sufficiently large/accretive deals for awhile often causes this) and then people decide it should never trade at a premium because it can't sell expensive stock anymore?
6. On a somewhat unreal topic, swag why do you assume \$1,400 gold is a more appropriate price than spot/futures?

Subject	Re: Questions on Business Model and Sector Valuation
Entry	04/28/2020 02:28 AM
Member	swag95

Hi Light62 - Hopefully these answers help!

1. These can be seen similar to MLPs, however a large portion of cash generated is still kept in the business to invest in balance sheet management as well as future streams.
2. Elliott holds a rather large portion in Triple Flag and I believe that their only reason for taking the company public was to liquidate their entire position. If the IPO wasn't going to be priced favorably and they weren't going to realize adequate liquidity upon being priced, say, under 2.0x, then it would be wise for them to hold off until equity markets are more receptive to IPOs, especially in the mining space.
3. I think the real institutional value that royalty and streaming companies bring are an easy way to access financing without turning to public markets where ownership might have to be diluted or to banks where financing may be difficult to secure. These companies typically trade at a large premium to NAV due to the lack of fixed costs and operational exposure they must incur.
4. The key for royalty and streaming companies is to not have operational risk exposure. I believe that the streaming model WPM uses is best for this as the company remains focused on working with respective management teams to best deploy capital at the project level. Upon doing so, they can then ensure future gold deliveries and take advantage of the arb system to capture value. Buying a mine outright opens WPM to operational risk which the company should not incur.
5. I think that these companies will continue to re-rate until they are around 2.0x NAV or above just due to the lack of operational exposure. This is key especially in a low commodity price environment, and streaming companies allow investors to have exposure to precious metals (in WPM's case) within their respective portfolios. Permanent downward re-rating is unrealistic in my opinion unless there is a pattern of making poor investment decisions which isn't characteristic of WPM given the strength in their management team and their respective experiences.
6. I used \$1,400 Au price for a couple of reasons. First of all, LT consensus prices are sitting just above this so it is relatively realistic to assume gold prices will settle around \$1,400/oz. Additionally, I argue that gold prices could face downward pressure in the short term as gold does well in times of economic uncertainty, but not market Armageddon (when all investments are being pulled out and put into cash). Not only do I think that there could be a temporary retreat of investment from central banks and ETFs, but I think that the lower demand from India and China is not being realized by the market. For those reasons, I wouldn't see it fair to run the model at spot or at various consensus prices, but it would be more accurate to be conservative as value swings a lot with a slight change in prices.

I hope this helps!